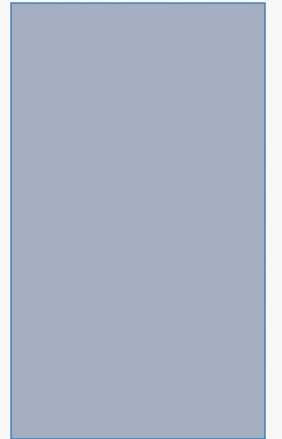


GROUP AND TEAM DECISION MAKING IN ORGANIZATION

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GROUP DECISION MAKING IN ORGANIZATIONS

- In organizations, people work in many kinds of groups: some are formal, some informal, some permanent, some temporary, and there are different types of teams. Most of these groups make decisions that affect both the organization and the people in it.

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- So, it's important to understand how groups make decisions. The main things to know are:
- **Group polarization:** Groups sometimes make decisions that are more extreme than what individual members would choose.
- **Groupthink:** Sometimes groups focus too much on agreeing and ignore better solutions or problems.
- **Group problem-solving methods:** Ways that groups work together to solve problems effectively.

GROUP POLARIZATION

- **Group Polarization:** The tendency for a group's average post discussion attitudes to be more extreme than its average pre-discussion attitudes.
- During group discussions, people's opinions about an issue or solution can change. Sometimes, the group ends up choosing a riskier solution than individuals would on their own. This is called a risky shift. But it doesn't always go toward more risk – sometimes the group may become more careful or conservative.
- In general, group polarization happens when, after discussion, the group's average opinion becomes more extreme than before the discussion.

WHY DOES POLARIZATION HAPPEN?

1. When people see that others **share their opinions**, they feel more confident and may take a stronger position.
2. **Persuasive arguments** from strong supporters can convince others to agree and adopt a more extreme view.
3. People may feel **less personally responsible** for the decision because it's made by the group. This “diffusion of responsibility” can make them support **decisions they wouldn't make alone**.

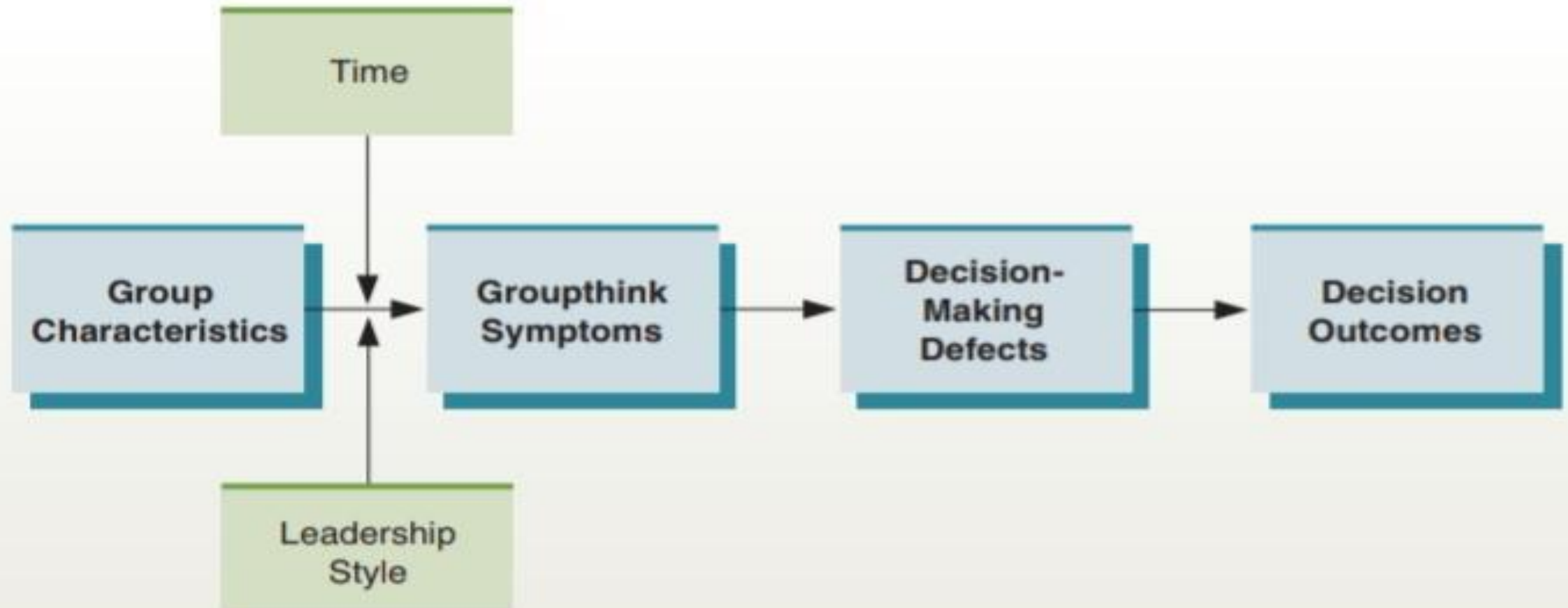
IMPACT

- If a group leans toward a decision before discussion, the final group decision is often even stronger or more extreme.
- Knowing this helps anyone who wants to influence group decisions effectively.

GROUPTHINK

- Groups or teams that are very close and work well together are often **successful** in reaching their goals. But they can also face problems, like **groupthink**.
- **Groupthink** (Irving L. Janis) happens when a group is so focused on **agreement** that they stop thinking carefully about other options. Members may feel it's **wrong to disagree**, so the group's goal becomes **unanimity** instead of the best decision.
- Groupthink can happen in **many decision-making situations**, and with more **teams in organizations today**, it may happen more often, especially in **self-managing teams**.

The Groupthink Process



Source: Moorhead, G., Ference, R., & Neck, C. P. (1991). Group Decision Fiascoes Continue: Space Shuttle *Challenger* and a Revised Groupthink Framework. *Human Relations*, 44, 539–550.

Groupthink can develop under three main conditions:

1. **Cohesiveness** – the group is very close and united.
2. **Leader influence** – the leader pushes their preferred solution.
3. **Isolation** – the group is cut off from outside experts' opinions.

After studying the Challenger space shuttle disaster (1986), researchers added that time pressure and leaders not encouraging critical thinking also increase groupthink.

SYMPTOMS OF GROUPTHINK

When a group is experiencing groupthink, it shows **eight key symptoms**.

- 1. Illusion of invulnerability** – the group feels overly confident and takes big risks.
- 2. Rationalizing warnings** – members ignore or explain away problems instead of reconsidering decisions.
- 3. Unquestioned belief in morality** – the group thinks their decisions are always right and may **ignore ethical concerns**.

- 4. Stereotyping opponents** – Seeing rival leaders as too evil, weak, or stupid to negotiate with properly.
- 5. Pressure on dissenters** – Members who disagree with the group are pressured to stay silent and follow the group.
- 6. Self-censorship** – Members keep their doubts or opposing ideas to themselves to avoid conflict.
- 7. Illusion of unanimity** – The group wrongly assumes everyone agrees, often because members stay silent.
- 8. Mind guards** – Some members protect the group from information that might challenge their decisions.

Why it matters: Groupthink explains why companies or governments sometimes continue **failing strategies or bad policies**, even when it's obvious they are not working.

DECISION-MAKING DEFECTS AND DECISION QUALITY

When groupthink takes over, group decisions often have defects:

- The group looks at only a few options, not all possible ones.
- They may ignore risks or drawbacks of the preferred option.
- Previously rejected options are not reconsidered, even if new information appears.
- Expert opinions that disagree with the group may be ignored.
- The group may only focus on information that supports its choice.
- Other reasons for decision defects can include fatigue, prejudice, wrong information, information overload, and ignorance.

CONT.

- Defective decision-making does not always cause failure. Sometimes the other side makes worse decisions.
- But decisions made with flaws are less likely to succeed.
- Groupthink is supported by research, but some questions remain unanswered.

PREVENTION OF GROUPTHINK

- Several suggestions have been offered to help managers reduce the probability of groupthink in group decision making. Summarized in Table 8.2, these prescriptions fall into four categories, depending on whether they apply to the leader, the organization, the individual, or the process. All are designed to facilitate the critical evaluation of alternatives and discourage the single-minded pursuit of unanimity.

Prescriptions for Preventing Groupthink

A. Leader prescriptions

1. Assign everyone the role of critical evaluator.
2. Be impartial; do not state preferences.
3. Assign the devil's advocate role to at least one group member.
4. Use outside experts to challenge the group.
5. Be open to dissenting points of view.

B. Organizational prescriptions

1. Set up several independent groups to study the same issue.
2. Train managers and group leaders in groupthink prevention techniques.

C. Individual prescriptions

1. Be a critical thinker.
2. Discuss group deliberations with a trusted outsider; report back to the group.

D. Process prescriptions

1. Periodically break the group into subgroups to discuss the issues.
2. Take time to study external factors.
3. Hold second-chance meetings to rethink issues before making a commitment.

PARTICIPATION IN DECISION MAKING

- A key question is how much employees should take part in decisions.
- Early management theories (like scientific management) said: Managers make decisions, employees just follow them.
- Other approaches say: Employees should participate to feel involved, motivated, and satisfied.

Research shows:

- Employees who like responsibility find participation motivating and enriching.
- Others may see it as waste of time or management pressure.

WHEN IS PARTICIPATION HELPFUL?

- Judgmental tasks (estimating, predicting, making accurate judgments): Groups usually do better because more people contribute, but a very capable individual may sometimes make a better choice.
- Problem-solving tasks: Groups usually come up with more and better solutions, but they take longer than individuals.
- Simple problems may be solved faster by a single capable person.
- Complex problems are better for groups, which can divide the work, discuss results, and make better decisions.

GROUP PROBLEM SOLVING

- Common problems in group decision making:
- Groups may stop searching for alternatives too early.
- Immediate reactions to ideas can cause self-censorship.
- Less confident members may hold back ideas due to fear of criticism.
- Leaders may limit idea generation by focusing on time, cost, feasibility, or rules.

TECHNIQUES TO IMPROVE GROUP PROBLEM SOLVING:

1. Brainstorming

- Used to generate ideas for new problems.
- Members share ideas freely, without criticism.
- Ideas are recorded visibly (flip chart, board, etc.).
- Encourages creativity and building on others' ideas.
- Does not solve the problem directly, but creates a list of alternatives.

2. NOMINAL GROUP TECHNIQUE (NGT)

Can be used for problem identification, evaluation, or generating alternatives.

Process:

- Each member writes ideas individually (no discussion yet).
- Members take turns sharing ideas.
- Ideas are recorded visibly for all.
- Members can add or build on ideas of others.
- Members vote or rank ideas privately to reduce intimidation.
- Cycle of generate → discuss → vote continues until decision.

CONT.

Advantages:

- Reduces power and status influence.
- Works for generating or evaluating ideas.

Disadvantage:

- Can limit creativity due to structured format.

3. DELPHI TECHNIQUE

Gathers expert opinions systematically, often when group members cannot meet face-to-face.

Process:

- Manager develops a questionnaire for experts.
- Experts respond, and results are summarized and sent back with another questionnaire.
- Cycle repeats until enough information is gathered.

CONT.

Advantages:

- Useful for geographically dispersed experts.
- Maintains anonymity, reduces intimidation.

Disadvantage:

- No direct interaction, which may reduce creative discussion.